

Financial Accounting FINAL

Show equations, substitutions, intermediate reasoning, and a final labeled answer.

1. [8 pts] Record: receive \$328 cash for a service already performed; purchase \$446 of supplies on account. Give both journal entries and the immediate effect on the accounting equation.

2. [7 pts] A \$975 prepaid service contract covers 6 months. After one month, give the adjusting entry and remaining liability.

3. [5 pts] At period end, assets are \$1909 and liabilities are \$630. Compute equity and explain the balance-sheet relationship.

4. [6 pts] Current assets are \$1190 and current liabilities are \$479. Compute the current ratio and interpret values above 1.

5. [5 pts] A customer pays before delivery. Explain when revenue is recognized and name the liability recorded before performance.

6. [8 pts] Record: receive \$327 cash for a service already performed; purchase \$425 of supplies on account. Give both journal entries and the immediate effect on the accounting equation.

7. [7 pts] A \$835 prepaid service contract covers 3 months. After one month, give the adjusting entry and

remaining liability.

8. [5 pts] At period end, assets are \$1672 and liabilities are \$578. Compute equity and explain the balance-sheet relationship.

9. [6 pts] Current assets are \$1724 and current liabilities are \$827. Compute the current ratio and interpret values above 1.

10. [5 pts] A customer pays before delivery. Explain when revenue is recognized and name the liability recorded before performance.
